Type MS · Cash-flow forecasts: terms, uses and limits

Answer 1 of 11 · Question 2 part c · 3 marks

2023 JUN · Paper 02 · extract 1 of 7 · find part c in this mark scheme extract

2 (a)	**A02 - 1 mark** Award 1 mark for a valid reason of *IKEA* would employ temporary staff in the context of the business. • At a busy time of the year when a furniture sale is happening requiring more sales assistants **(1)** • If a delivery driver has a long-term illness, then a temporary driver would be required to take over the delivery of flat packed tables and chairs **(1)** **NB** Do not accept a reason that is not in the context of *IKEA.* **Accept any other appropriate response.**	**(1)**

Question Number	State **one** financial objective *IKEA* might have. **Answer**	**Mark**
2 (b)	**A02 - 1 mark** Award 1 mark for a financial objective in the context of the business. • *IKEA* wants to increase its market share in the sale of furniture **(1)** • *IKEA* wants to survive in the competitive market of selling home goods **(1)** **NB** Do not accept a financial objective that is not in the context of *IKEA.* **Accept any other appropriate response.**	**(1)**

Type MS · Cash-flow forecasts: terms, uses and limits

Answer 1 of 11 · Question 2 part c · 3 marks

2023 JUN · Paper 02 · extract 2 of 7 · find part c in this mark scheme extract

Question Number	Explain **one** reason why cash flow forecasting is important to a business. **Answer**	Mark
2 (c)	**A01 - 3 marks** Award 1 mark for why cash flow forecasting is important to a business plus 2 further marks for explaining the reason, for a maximum of 3 marks. • By using a cash flow forecast businesses can plan for the future **(1)** by estimating the amount of revenue coming in **(1)** and also the amount going out of the business **(1)** • By using a cash flow forecast a business can identify periods where there may be insufficient funds **(1)** to carry out the work required **(1)** so they can plan for that situation and make adjustments to enable survival **(1)** **NB** No marks are awarded for a definition. Answers that list three reasons why cash flow forecasting is important to a business, with no explanation will get 1 mark only. **Accept any other appropriate response.**	**(3)**

Type MS · Cash-flow forecasts: terms, uses and limits

Answer 1 of 11 · Question 2 part c · 3 marks

2023 JUN · Paper 02 · extract 3 of 7 · find part c in this mark scheme extract

Question Number	Explain **one** reason why diseconomies of scale may occur. **Answer**	**Mark**
2 (d)	**A01 - 3 marks** Award 1 mark for a reason why diseconomies of scale may occur, plus 2 further marks for explaining this reason, for a maximum of 3 marks. • The business may become too large **(1)** which then demotivates employees **(1)** resulting in falling productivity levels **(1)** • The business relies more on bureaucracy **(1)** meaning that more time is spent in administration **(1)** resulting in decision making being slower **(1)** **NB** No marks are awarded for a definition. Answers that list three reasons why diseconomies of scale may occur, with no explanation will get 1 mark only. **Accept any other appropriate response.**	**(3)**

Type MS · Cash-flow forecasts: terms, uses and limits

Answer 1 of 11 · Question 2 part c · 3 marks

2023 JUN · Paper 02 · extract 4 of 7 · find part c in this mark scheme extract

Question Number	Explain **one** reason why businesses continually design new products. **Answer**	Mark
2 (e)	**A01 - 3 marks** Award 1 mark for a reason why businesses continually design new products plus 2 further marks for explaining why, for a maximum of 3 marks. • By designing new products, it keeps existing customer interested **(1)** this may mean that they will visit a store to see and purchase the new goods **(1)** increasing profit for the business **(1)** • Fashions constantly change **(1)** and if a business does not introduce new products **(1)** they may find that demand for their products decreases **(1)** **NB** No marks are awarded for a definition. Answers that list three reasons of why businesses design new products with no explanation will get 1 mark only. **Accept any other appropriate response.**	**(3)**

Type MS · Cash-flow forecasts: terms, uses and limits

Answer 1 of 11 · Question 2 part c · 3 marks

2023 JUN · Paper 02 · extract 5 of 7 · find part c in this mark scheme extract

Question Number	**Option 1**: above the line promotion **Option 2:** below the line promotion. **Indicative content**	Mark
2 (f)	**AO2 = 3 marks AO3 = 3 marks AO4 = 3 marks** **AO2** • **Option 1** – Using social media to advertise its wide range of chairs, may reach out to a worldwide audience • **Option 2** – By using coupons with a discount of 10% off purchasing any bedroom furniture **AO3** • **Option 1** – Social media advertising can target certain age groups and people, encouraging them to visit the stores • **Option 2** – Whilst visiting the store to use their discount vouchers they are more likely to see other goods such as lights to go in the bedroom and purchase them at the same time **AO4** • **Option 1** – However, not everybody uses social media so many people would not be aware of the advert to purchase furniture • **Option 2** – However, there is no guarantee that customers are going to use the coupon or even visit the store, so the advertising costs would be wasted	**(9)**

Type MS · Cash-flow forecasts: terms, uses and limits

Answer 1 of 11 · Question 2 part c · 3 marks

2023 JUN · Paper 02 · extract 6 of 7 · find part c in this mark scheme extract

Level	Mark	Descriptor
	0	No Rewardable material.
Level 1	1-3	• Limited application of knowledge and understanding of business concepts and issues to the business context (AO2). • Attempts to deconstruct business information and/or issues, finding limited connections between points (AO3). • Makes a judgement, providing a simple justification based on limited evaluation of business information and issues relevant to the choice made (AO4).
Level 2	4-6	• Sound application of knowledge and understanding of business concepts and issues to the business context although there may be some inconsistencies (AO2). • Deconstructs business information and/or issues, finding interconnected points with chains of reasoning, although there may be some logical inconsistencies (AO3). • Makes a judgement, providing a justification based on sound evaluation of business information and issues relevant to the choice made (AO4).
Level 3	7 - 9	• Detailed application of knowledge and understanding of business concepts and issues to the business context throughout (AO2). • Deconstructs business information and/or issues, finding detailed interconnected points with logical chains of reasoning (AO3). • Makes a judgement, providing a clear justification based on a thorough evaluation of business information and issues relevant to the choice made (AO4).

Type MS · Cash-flow forecasts: terms, uses and limits

Answer 1 of 11 · Question 2 part c · 3 marks

2023 JUN · Paper 02 · extract 7 of 7 · find part c in this mark scheme extract

Question Number	Define the term **overdraft.** **Answer**	Mark

Type MS · Cash-flow forecasts: terms, uses and limits

Answer 2 of 11 · Question 1 part a.iv · 1 mark

2020 NOV · Paper 01 · extract 1 of 5 · find part a.iv in this mark scheme extract

1 (a) (i)	**AO1 = 1 mark** **The only correct answer is B – Income tax** A is not correct because sales tax is not a tax C is not correct because it is a tax paid by limited businesses D is not correct because it is not a tax	**(1)**
Question Number	Answer	Mark
1 (a) (ii)	**AO1 = 1 mark** **The only correct answer is D – Packaging** A is not correct because it is a fixed cost B is not correct because it is a fixed cost C is not correct because it is a fixed cost	**(1)**
Question Number	Answer	Mark
1 (a) (iii)	**AO1 = 1 mark** **The only correct answer is C – Focus groups** A is not correct because it is a method of secondary market research B is not correct because it is a method of secondary market research D is not correct because it is a method of secondary market research	**(1)**

Type MS · Cash-flow forecasts: terms, uses and limits

Answer 2 of 11 · Question 1 part a.iv · 1 mark

2020 NOV · Paper 01 · extract 2 of 5 · find part a.iv in this mark scheme extract

Question Number	Answer	Mark
1 (a) (iv)	**AO1 = 1 mark** **The only correct answer is A –** **Total cash inflow – total cash outflow** B is not correct because it is the incorrect calculation C is not correct because it is the incorrect calculation D is not correct because it is the incorrect calculation	**(1)**
Question Number	Answer	Mark
1 (a) (v)	**AO2 = 1 mark** **The only correct answer is D - €86.25** A is not correct because this is worked out by multiplying five lessons by the exchange rate of €1.15 B is not correct because this is the cost of the lesson C is not correct because this is worked out by multiplying the cost of each lesson at £15 by five lessons	**(1)**
Question Number	Answer	Mark
1 (a) (vi)	**AO2 = 1 mark** **The only correct answer is A – A decrease in cash outflows** B is not correct because this is not an impact of a decrease in the exchange rate C is not correct because this is not an impact of a decrease in the exchange rate D is not correct because this is not an impact of a decrease in the exchange rate	**(1)**

Type MS · Cash-flow forecasts: terms, uses and limits

Answer 2 of 11 · Question 1 part a.iv · 1 mark

2020 NOV · Paper 01 · extract 3 of 5 · find part a.iv in this mark scheme extract

Question Number	Answer	Mark
1 (b)	**AO1 = 1 mark** Award 1 mark for a correct definition of fixed costs. • Costs that do not vary with the level of output (1).	**(1)**

Question Number	Answer	Mark
1 (c)	**AO1 = 1 mark** Award 1 mark for the correct definition of stakeholder. • An individual or a group with an interest in the business (1).	**(1)**

Question Number	Answer	Mark
1 (d)	**AO2 = 1 mark** Award 1 mark for a valid response that relates to investing in computer technology in the context of the business. • *TADS* could improve the quality of the sound that the drums make (1).	**(1)**

Question Number	Answer	Additional guidance	Mark
1 (e)	**AO2 = 2 marks** (350 – 190) / 190 x 100 (1) = 84.21% (1)	Award 1 mark for correctly substituting numbers into formula. Award full marks for correct numerical answer without working.	**(2)**

Type MS · Cash-flow forecasts: terms, uses and limits

Answer 2 of 11 · Question 1 part a.iv · 1 mark

2020 NOV · Paper 01 · extract 4 of 5 · find part a.iv in this mark scheme extract

Question Number	Answer	Mark
1 (f)	**AO1 = 3 marks** Award 1 mark for identification of a disadvantage, plus 2 further marks for explaining how this will affect a business for a maximum of 3 marks. • Partners may disagree and fall out (1) meaning decision making can take longer (1) stopping the business moving forward with new ideas (1). **Accept any other appropriate response.**	**(3)**

Question Number	Indicative content	Mark
1 (g)	**AO2 = 3 marks AO3 = 3 marks** **AO2** • *TADS* is located in a wealthy area near to people with more disposable income. • *TADS* needs to be far away from competitors in the music school industry. **AO3** • It is important to be located close to the target market as parents may not want to travel far for the lessons for their children. • As the service provided is specialised it is best to be far away from other drumming schools as not everyone will want to play them.	**(6)**

Level	Mark	Descriptor
	0	No rewardable material.
Level 1	1–2	• Limited application of knowledge and understanding of business concepts and issues to the business context. (AO2) • Attempts to deconstruct business information and/or issues, finding limited connections between points. (AO3)
Level 2	3–4	• Sound application of knowledge and understanding of business concepts and issues to the business context although there may be some inconsistencies. (AO2) • Deconstructs business information and/or issues, finding interconnected points with chains of reasoning, although there may be some logical inconsistencies. (AO3)

Type MS · Cash-flow forecasts: terms, uses and limits

Answer 2 of 11 · Question 1 part a.iv · 1 mark

2020 NOV · Paper 01 · extract 5 of 5 · find part a.iv in this mark scheme extract

Level 3	5–6	• Detailed application of knowledge and understanding of business concepts and issues to the business context throughout. (AO2) • Deconstructs business information and/or issues, finding detailed interconnected points with logical chains of reasoning. (AO3)

Question Number	Answer	Mark

Type MS · Cash-flow forecasts: terms, uses and limits

Answer 3 of 11 · Question 1 part a.ii · 1 mark

2022 JUN · Paper 02 (regional R) · extract 1 of 7 · find part a.ii in this mark scheme extract

1 (a) (i)	**AO1 - 1 mark** **B** Partnership A A sole trader is only one person C Public Corporation is a large business run by many D Public Limited Company has directors and can be quite a large business	**(1)**

Question Number	Which **one** of the following would show a business its cash flow forecast? Answer	Mark
1 (a)(ii)	**AO1 - 1 mark** **A** Cash inflows and outflows B Money owed to its creditors is a debt and is not a forecast C Net cash flow is the difference between money in and money out D Opening and closing balances are actual amounts and not a forecast	**(1)**

Question Number	Which **one** of the following would a customer in South Africa pay in ZAR for two 850 gram *Cadbury* Dairy Milk Bars? Answer	Mark
1 (a) (iii)	**AO2 - 1 mark** **C** 411.19 A 20.59 (20.58 + 1) B 205.60 (20.58 x 9.99) D 411.60 (20.58 x 10.00 x 2)	**(1)**

Type MS · Cash-flow forecasts: terms, uses and limits

Answer 3 of 11 · Question 1 part a.ii · 1 mark

2022 JUN · Paper 02 (regional R) · extract 2 of 7 · find part a.ii in this mark scheme extract

Question Number	Which **one** of the following functional areas would a skilled machinist work in? Answer	Mark
1 (a)(iv)	**AO1 - 1 mark** **C** Production A Finance deals with the money side of the business B Human Resources deals with recruitment D Marketing deals with advertising the products	(1)

Question Number	What is the percentage decrease in the price of the *Cadbury* Crunchie? Answer	Mark
1 (a) (v)	**AO2 - 1 mark** **D** 8.42% A 0.92% (0.87 ÷ 0.95) B 1.09% (0.95 ÷ 0.87) C 8.00% (0.95 - 0.87)	(1)

Question Number	Which **one** of the following is an example of secondary market research? Answer	Mark
1 (a)(vi)	**AO1 - 1 mark** **B** Market Report A Telephone Survey is primary research C Test Marketing is primary research D Focus Group is primary research	(1)

Question Number	Define the term **personal savings**. Answer	Mark
1 (b)	**AO1 - 1 mark** Award 1 mark for a correct definition of **personal savings.** • Money that belongs to an individual not a business **(1)**	(1)

Type MS · Cash-flow forecasts: terms, uses and limits

Answer 3 of 11 · Question 1 part a.ii · 1 mark

2022 JUN · Paper 02 (regional R) · extract 3 of 7 · find part a.ii in this mark scheme extract

Question Number	Define the term **sole trader.** Answer	Mark
1 (c)	**AO1 - 1 mark** Award 1 mark for a correct definition of a **sole trader.** • A business owned by a single person **(1)**	**(1)**

Question Number	State **one** reason why *Cadbury* might pay its UK employees above the minimum wage. Answer	Mark
1 (d)	**A02 - 1 mark** Award 1 mark for a valid reason of why *Cadbury* pays its UK employees above the minimum wage in the context of the business. • Employees are more likely to stay with *Cadbury* and not move to a competitor such as Rowntree's to earn additional money **(1)** • Employees are less likely to take time off from producing chocolate bars if they are paid well **(1)** **NB** Do not accept a reason that is not in the context of *Cadbury*. **Accept any other appropriate response.**	**(1)**

Type MS · Cash-flow forecasts: terms, uses and limits

Answer 3 of 11 · Question 1 part a.ii · 1 mark

2022 JUN · Paper 02 (regional R) · extract 4 of 7 · find part a.ii in this mark scheme extract

Question Number	Calculate the selling price of the chocolate cake. Answer	Additional guidance	Mark
1 (e)	**A02 - 2 marks** 6.50 x .20 = 1.30 **(1)** 6.50 + 1.30 = 7.80 **(1)** **OR** 6.50 x 1.20 **(1)** = 7.80 **(1)**	Award 1 mark for correctly substituting numbers into formula. Award full marks for correct numerical answer without working.	(2)

Question Number	Explain **one** advantage for businesses if banks reduce their interest rates. Answer	Mark
1 (f)	**A01 - 3 marks** Award 1 mark for identification of an advantage for a business if the banks reduce their interest rates, plus 2 further marks for explaining the reason, for a maximum of 3 marks. • This means that if a business took out loans **(1)** monthly repayments would be lower **(1)** leaving more funds for other business expenses **(1)** • If the interest rates are reduced, then customers may have more funds available **(1)** to spend on goods/products **(1)** thus increasing the turnover of businesses **(1)** **NB** No marks are awarded for a definition. Answers that list three advantages with no explanation will get 1 mark only. **Accept any other appropriate response.**	(3)

Type MS · Cash-flow forecasts: terms, uses and limits

Answer 3 of 11 · Question 1 part a.ii · 1 mark

2022 JUN · Paper 02 (regional R) · extract 5 of 7 · find part a.ii in this mark scheme extract

Question Number	Analyse **two** factors that could influence *Cadbury* when locating a new factory. **Indicative content**	Mark
1 (g)	**AO2 = 3 marks AO3 = 3 marks** AO2 • *Cadbury* may need to move to a location where there are skilled employees, such as cake designers and biscuit bakers • Locating near to motorways or railways means that cocoa can be delivered to *Cadbury* factories using a variety of methods AO3 • If *Cadbury* locates near to a pool of skilled employees they require, employees will be willing to work at *Cadbury* as they will not have far to travel • This means that the cocoa will arrive in time for the production of *Cadbury* products	(6)

Type MS · Cash-flow forecasts: terms, uses and limits

Answer 3 of 11 · Question 1 part a.ii · 1 mark

2022 JUN · Paper 02 (regional R) · extract 6 of 7 · find part a.ii in this mark scheme extract

Level	Mark	Descriptor
	0	No rewardable material.
Level 1	1-2	• Limited application of knowledge and understanding of business concepts and issues to the business context (AO2). • Attempts to deconstruct business information and/or issues, finding limited connections between points (AO3).
Level 2	3-4	• Sound application of knowledge and understanding of business concepts and issues to the business context although there may be some inconsistencies (AO2). • Deconstructs business information and/or issues, finding interconnected points with chains of reasoning, although there may be some logical inconsistencies (AO3).
Level 3	5-6	• Detailed application of knowledge and understanding of business concepts and issues to the business context throughout (AO2). • Deconstructs business information and/or issues, finding detailed interconnected points with logical chains of reasoning (AO3).

Type MS · Cash-flow forecasts: terms, uses and limits

Answer 3 of 11 · Question 1 part a.ii · 1 mark

2022 JUN · Paper 02 (regional R) · extract 7 of 7 · find part a.ii in this mark scheme extract

Question Number	State **one** item of information that an applicant would include in their Curriculum Vitae (CV) when applying for a position with *Cadbury*. Answer	Mark

Type MS · Cash-flow forecasts: terms, uses and limits

Answer 4 of 11 · Question 1 part a.i · 1 mark

2022 JUN · Paper 02 · extract 1 of 6 · find part a.i in this mark scheme extract

1 (a) (i)	**AO1 - 1 mark** **C** Cash flow A – a mortgage is a loan B – break-even does not show money in and out of a business – it is the point at which total costs and revenue are the same D – Profit and loss – profit is money left after sales and loss is when there is less money made than it cost	**(1)**

Question Number	Which **one** of the following could a person complete when applying for a job? **Answer**	**Mark**
1 (a)(ii)	**AO1 - 1 mark** **A** Application form B – Shortlisting is the process of deciding which applicants to interview C – Job description gives of the job for which applicants can apply D Person specification gives details of the type of person required for the job	**(1)**

Question Number	Which **one** of the following is the correct statement? **Answer**	**Mark**
1 (a) (iii)	**AO2 - 1 mark** **C** Loss of 550 000 A – Total costs has incorrectly been calculated using revenue + variable costs + fixed costs B – Cash inflow has incorrectly been calculated by doing variable costs minus fixed costs D – Profit is incorrect as this calculates revenue minus variable costs	**(1)**

Type MS · Cash-flow forecasts: terms, uses and limits

Answer 4 of 11 · Question 1 part a.i · 1 mark

2022 JUN · Paper 02 · extract 2 of 6 · find part a.i in this mark scheme extract

Question Number	Which **one** of the following is a benefit of being a franchisee? **Answer**	**Mark**
1 (a)(iv)	**AO1 - 1 mark** **B** Selling an established brand A – You cannot choose your own suppliers as a franchise C – You would still have to pay interest on any bank loans whether a franchisee or not D – You do not have complete control of the business if you are a franchisee the franchisor does	**(1)**

Question Number	Which **one** of the following is the percentage increase from 2019 to 2020? **Answer**	**Mark**
1 (a) (v)	**AO2 - 1 mark** **D** 6% A – is 2.31 ÷ 38.5 = 0.06% B – is 40.81 ÷ 38.5 = 1.06% C – is 40.81 – 38.5 = 2.31%	**(1)**

Question Number	Which **one** of the following functional areas could help employees who had a problem with their wage? **Answer**	**Mark**
1 (a)(vi)	**AO1 - 1 mark** **B** Finance A – Production is making goods C – Marketing is about identifying, anticipating and satisfying customer requirements profitably D – Sales is selling the goods to customers	**(1)**

Type MS · Cash-flow forecasts: terms, uses and limits

Answer 4 of 11 · Question 1 part a.i · 1 mark

2022 JUN · Paper 02 · extract 3 of 6 · find part a.i in this mark scheme extract

Question Number	Define the term **break-even**. **Answer**	Mark
1 (b)	**AO1 - 1 mark** Award 1 mark for a correct definition of **break-even**. • When costs and revenue are the same **(1)** • When total costs are the same as total sales **(1)**	**(1)**

Question Number	Define the term **public corporation**. **Answer**	Mark
1 (c)	**AO1 - 1 mark** Award 1 mark for a correct definition of **public corporation** • Owned by the state/central government **(1)**	**(1)**

Question Number	State **one** benefit for *LEGO* of having a short span of control. **Answer**	Mark
1 (d)	**A02 - 1 mark** Award 1 mark for a valid benefit for having a short span of control in the context of the business. • By reducing the levels communication between the managers of the 15 factories and the Danish HQ could lead to fewer mistakes **(1)** • Allows all 18,000 world-wide employees to make suggestions about the new products **(1)** **NB** Do not accept a benefit that is not in the context of LEGO. **Accept any other appropriate response**	**(1)**

Type MS · Cash-flow forecasts: terms, uses and limits

Answer 4 of 11 · Question 1 part a.i · 1 mark

2022 JUN · Paper 02 · extract 4 of 6 · find part a.i in this mark scheme extract

Question Number	Calculate, to two decimal places, the cost of making the pineapple pencil holders. **Answer**	**Additional guidance**	**Mark**
1 (e)	**A02 - 2 marks** 148 ÷ 115 = 1.287 **(1)** 1.287 × 100 = 128.70 **(1)**	Award 1 mark for correctly substituting numbers into formula. Award full marks for correct numerical answer without working.	**(2)**

Question Number	Explain **one** disadvantage of using questionnaires as a method of market research. **Answer**	**Mark**
1 (f)	**A01 - 3 marks** Award 1 mark for identification of a disadvantage of using a questionnaire, plus 2 further marks for explaining the reason, for a maximum of 3 marks. • If the questionnaire is too long **(1)** people may be reluctant to complete them **(1)** and may not give true answers **(1)** • If there are too many questions then people may not focus properly **(1)** and this could result in a low rate of return **(1)** therefore not giving the information required **(1)** NB No marks are awarded for a definition. Answers that list three disadvantages with no explanation will get a 1 mark only. **Accept any other appropriate response.**	**(3)**

Type MS · Cash-flow forecasts: terms, uses and limits

Answer 4 of 11 · Question 1 part a.i · 1 mark

2022 JUN · Paper 02 · extract 5 of 6 · find part a.i in this mark scheme extract

Question Number	Analyse the benefits for *LEGO* of being a multinational business. **Indicative content**	Mark
1 (g)	**AO2 = 3 marks AO3 = 3 marks** **AO2** • *LEGO* can sell its Harry Potter toys around the world • The arts and craft materials can be produced in the most cost-effective location for *LEGO* **AO3** • This means that *LEGO*'s global market will increase compared to rivals • Thus reducing the average total cost and leading to a larger profit margin	**(6)**

Level	Mark	Descriptor
	0	No rewardable material.
Level 1	1-2	• Limited application of knowledge and understanding of business concepts and issues to the business context (AO2). • Attempts to deconstruct business information and/or issues, finding limited connections between points (AO3).
Level 2	3-4	• Sound application of knowledge and understanding of business concepts and issues to the business context although there may be some inconsistencies (AO2). • Deconstructs business information and/or issues, finding interconnected points with chains of reasoning, although there may be some logical inconsistencies (AO3).
Level 3	5-6	• Detailed application of knowledge and understanding of business concepts and issues to the business context throughout (AO2). • Deconstructs business information and/or issues, finding detailed interconnected points with logical chains of reasoning (AO3).

Type MS · Cash-flow forecasts: terms, uses and limits

Answer 4 of 11 · Question 1 part a.i · 1 mark

2022 JUN · Paper 02 · extract 6 of 6 · find part a.i in this mark scheme extract

Question Number	State **one** financial objective for *LEGO*. **Answer**	**Mark**

1 (a) (i)	**AO1 - 1 mark** **The only correct answer is B – The lowest amount a business can legally pay its employees** **A –** Fixed amount per year and paid monthly – this is not the correct answer as it is a salary **C** – Payment made to an employee for working additional hours – this is not the correct answer as it is overtime **D** – Payment made to an employee for reaching a target – this is not the correct answer as it is a bonus	**(1)**

Question Number	Which **one** of the following describes the cash cow category in the Boston matrix? **Answer**	**Mark**
1 (a) (ii)	**AO1 - 1 mark** **The only correct answer is C – Low market growth, high market share** **A –** High market growth, high market share – this is not correct as it is the star category **B –** High market growth, low market share - this is not correct as it is the question mark category **D –** Low market growth, low market share - this is not correct as it is the dog category	**(1)**

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Type MS · Cash-flow forecasts: terms, uses and limits

Answer 5 of 11 · Question 1 part a.iii · 1 mark

2023 JUN · Paper 01 (regional R) · extract 2 of 7 · find part a.iii in this mark scheme extract

Question Number	Which **one** of the following would give a business a negative cash flow? **Answer**	Mark
1 (a) (iii)	**AO1 - 1 mark** **The only correct answer is D – Cash outflow is greater than cash inflow** **A** – Cash inflow is greater than cash outflow – this is not correct as it would give the business positive cash flow **B** – Costs are greater than profits – this is not correct as it would give the business a loss **C** – Profits are greater than costs – this is not correct as it would give the business profit	**(1)**

Question Number	Which **one** of the following is a recruitment document that outlines the tasks and responsibilities of a job? **Answer**	Mark
1 (a) (iv)	**AO1 - 1 mark** **The only correct answer is A – Job description** **B –** Person specification - this is not correct as it is a document outlining person attributes **C –** Application form – this is not correct as it is a form potential employees fill in **D –** Curriculum vitae – this is not correct as it is a document outlining the skills, experiences and qualifications of the potential employee	**(1)**

Question Number	Which **one** of the following is the total cost, in euros, of buying a four week supply of wrapping paper? **Answer**	Mark
1 (a) (v)	**AO2 - 1 mark** **The only correct answer is C – €317.40** **A –** €79.35 – this is not the correct answer as it is the cost of 150 metres of wrapping paper for a week **B –** €276.00 – this is not the correct answer as it is 4 weeks of wrapping paper in pounds **D –** €396.75 – this is not the correct answer as it is 5 weeks of wrapping paper in euros	**(1)**

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Question Number	Which **one** of the following is the markup for a selection of traditional flowers? **Answer**	Mark
1 (a) (vi)	**AO2 - 1 mark** **The only correct answer is A – 54.76%** **B –** 64.62% – this is not the correct answer as it is 42/65 x100 **C –** 182.61% – this is not the correct answer as it is 42/23 x100 **D –** 282.61% – this is not the correct answer as it is 65/23 x100	**(1)**

Question Number	Define the term **economies of scale.** **Answer**	Mark
1 (b)	**AO1 - 1 mark** Award 1 mark for a correct definition of **economies of scale.** • A fall in average costs as output increases **(1)**	**(1)**

Question Number	Define the term **stakeholder.** **Answer**	Mark
1 (c)	**AO1 - 1 mark** Award 1 mark for a correct definition of **stakeholder**. • Individuals or groups with an interest in the operation of a business **(1)**	**(1)**

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Type MS · Cash-flow forecasts: terms, uses and limits

Answer 5 of 11 · Question 1 part a.iii · 1 mark

2023 JUN · Paper 01 (regional R) · extract 4 of 7 · find part a.iii in this mark scheme extract

Question Number	State **one** benefit to *Aude Rose* of using just-in-time (JIT) production. **Answer**	Mark
1 (d)	**A02 - 1 mark** Award 1 mark for a benefit to *Aude Rose* of using just-in-time production in the context of the business. • *Aude Rose* will have less waste as the flowers will be fresh when delivered to the Paris shop **(1)** **NB** Do not accept a benefit that is not in the context of *Aude Rose*. **Accept any other appropriate response.**	**(1)**

Question Number	Calculate how many bunches of flowers will *Aude Rose* have to sell to break-even. **Answer**	**Additional guidance**	**Mark**
1 (e)	**A02 - 2 marks** 50 000/(50 – 10) **(1)** = 1 250 **(1)**	Award 1 mark for correctly substituting numbers into formula. Award full marks for correct numerical answer without working.	**(2)**

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Type MS · Cash-flow forecasts: terms, uses and limits

Answer 5 of 11 · Question 1 part a.iii · 1 mark

2023 JUN · Paper 01 (regional R) · extract 5 of 7 · find part a.iii in this mark scheme extract

Question Number	Explain **one** reason why a business might fail. **Answer**	Mark
1 (f)	**A01 - 3 marks** Award 1 mark for identification of a reason why a business might fail, plus 2 further marks for explaining the reason, for a maximum of 3 marks. • A lack of finance **(1)** from poor cashflow can lead to its failure **(1)** leading to an issue of paying for inventory to sell on to customers **(1)** **NB** Answers that list three reasons with no explanation will get 1 mark only. **Accept any other appropriate response.**	**(3)**

Match each answer number to the type practice PDF. Original exam material © Pearson Education Ltd.

Type MS · Cash-flow forecasts: terms, uses and limits

Answer 5 of 11 · Question 1 part a.iii · 1 mark

2023 JUN · Paper 01 (regional R) · extract 6 of 7 · find part a.iii in this mark scheme extract

Question Number	Analyse the importance to Aude Anglaret of motivating her employees. **Indicative content**	Mark
1 (g)	**AO2 = 3 marks AO3 = 3 marks** **AO2** • If the florists are motivated, they could produce more bunches of flowers for sale to customers • The florists are more likely to stay in the flower shop if they are paid more **AO3** • Increased productivity could lead to greater outputs and more sales • Employees who stay will reduce the cost of recruitment and training of new employees	**(6)**

Level	Mark	Descriptor
	0	No Rewardable material.
Level 1	1-2	• Limited application of knowledge and understanding of business concepts and issues to the business context. (AO2) • Attempts to deconstruct business information and/or issues, finding limited connections between points. (AO3)
Level 2	3-4	• Sound application of knowledge and understanding of business concepts and issues to the business context although there may be some inconsistencies. (AO2) • Deconstructs business information and/or issues, finding interconnected points with chains of reasoning, although there may be some logical inconsistencies. (AO3)
Level 3	5-6	• Detailed application of knowledge and understanding of business concepts and issues to the business context throughout. (AO2) • Deconstructs business information and/or issues, finding detailed interconnected points with logical chains of reasoning. (AO3)

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Type MS · Cash-flow forecasts: terms, uses and limits

Answer 5 of 11 · Question 1 part a.iii · 1 mark

2023 JUN · Paper 01 (regional R) · extract 7 of 7 · find part a.iii in this mark scheme extract

Question Number	State **one** fringe benefit *Aude Rose* could offer its employees. **Answer**	**Mark**

Type MS · Cash-flow forecasts: terms, uses and limits

Answer 6 of 11 · Question 1 part a.ii · 1 mark

2023 JUN · Paper 01 · extract 1 of 7 · find part a.ii in this mark scheme extract

1 (a) (i)	**AO1 - 1 mark** **The only correct answer is C – Marketing** **A –** Human resources – this is not the correct answer as it is responsible for employees **B** – Finance – this is not the correct answer as it is responsible for money **D** – Production – this is not the correct answer as it is responsible for making goods	**(1)**

Question Number	Which **one** of the following is the difference between cash inflow and cash outflow? **Answer**	**Mark**
1 (a) (ii)	**AO1 - 1 mark** **The only correct answer is B – Net cash flow** **A –** Opening balance – this is not correct as it is the amount of cash a business expects to have at the start of a month **C –** Closing balance - this is not correct as it is the amount of cash a business expects to have at the end of a month **D –** Cash flow forecast - this is not correct as it is the account which predicts expected receipts and expenses over a future time period	**(1)**

Type MS · Cash-flow forecasts: terms, uses and limits

Answer 6 of 11 · Question 1 part a.ii · 1 mark

2023 JUN · Paper 01 · extract 2 of 7 · find part a.ii in this mark scheme extract

Question Number	Which **one** of the following is the sector that converts raw materials into products? **Answer**	Mark
1 (a) (iii)	**AO1 - 1 mark** **The only correct answer is D – Secondary** **A** – Public – this is not correct as it is business organisations owned by government **B** – Tertiary – this is not correct as it is the provider of services **C** – Primary – this is not correct as it is the extraction of raw materials from the earth	**(1)**

Question Number	Which **one** of the following is an example of a good? **Answer**	Mark
1 (a) (iv)	**AO1 - 1 mark** **The only correct answer is A – Motor vehicle** **B –** Financial advice - this is not correct as it is an example of a service **C –** Car washing– this is not correct as it is an example of a service **D –** Gardening – this is not correct as it is an example of a service	**(1)**

Question Number	Which **one** of the following would be a 3% increase in revenue for *Irsi Chocolatier*? **Answer**	Mark
1 (a) (v)	**AO2 - 1 mark** **The only correct answer is C – €320 973.75** **A –** €317 857.50 – this is not the correct answer as it is an increase of 2% **B –** €319 415.63 – this is not the correct answer as it is an increase of 2.5% **D –** €322 531.88 – this is not the correct answer as it is an increase of 3.5%	**(1)**

Type MS · Cash-flow forecasts: terms, uses and limits

Answer 6 of 11 · Question 1 part a.ii · 1 mark

2023 JUN · Paper 01 · extract 3 of 7 · find part a.ii in this mark scheme extract

Question Number	Which **one** of the following is the break-even point when a box of luxury chocolates is priced at €15.10? **Answer**	Mark
1 (a) (vi)	**AO2 - 1 mark** **The only correct answer is B – 76** **A –** 75 – this is not the correct answer as it is the correct answer minus one **C –** 77 – this is not the correct answer as it is the correct answer plus one **D –** 78 – this is not the correct answer as it is the correct answer plus two	**(1)**

Question Number	Define the term **limited liability** **Answer**	Mark
1 (b)	**AO1 - 1 mark** Award 1 mark for a correct definition of **limited liability**. • When the business owner is only responsible for the original amount of money invested in the business **(1)**	**(1)**

Question Number	Define the term **social enterprise** **Answer**	Mark
1 (c)	**AO1 - 1 mark** Award 1 mark for a correct definition of **social enterprise**. • A business that aims to improve human or environmental well-being **(1)**	**(1)**

Type MS · Cash-flow forecasts: terms, uses and limits

Answer 6 of 11 · Question 1 part a.ii · 1 mark

2023 JUN · Paper 01 · extract 4 of 7 · find part a.ii in this mark scheme extract

Question Number	State **one** way *Irsi Chocolatier* could use the Boston matrix. **Answer**	Mark
1 (d)	**A02 - 1 mark** Award 1 mark for a way *Irsi Chocolatier* could use the Boston matrix • *Irsi Chocolatier* could use the dog category to see the chocolates that are not worth making anymore **(1)** **NB** Do not accept a way that is not in the context of *Irsi Chocolatier*. **Accept any other appropriate response.**	**(1)**

Question Number	Calculate, to two decimal places, the cost of these chocolates after the discount has been applied. **Answer**	**Additional guidance**	**Mark**
1 (e)	**A02 - 2 marks** 75.50 x 0.06 = 4.53 **(1)** 75.50 – 4.53 = 70.97 **(1)**	Award 1 mark for correctly substituting numbers into formula. Award full marks for correct numerical answer without working.	**(2)**

Type MS · Cash-flow forecasts: terms, uses and limits

Answer 6 of 11 · Question 1 part a.ii · 1 mark

2023 JUN · Paper 01 · extract 5 of 7 · find part a.ii in this mark scheme extract

Question Number	Explain **one** benefit for a business that uses test marketing. **Answer**	Mark
1 (f)	**A01 - 3 marks** Award 1 mark for identification of a benefit for a business that uses test marketing, plus 2 further marks for explaining the benefit, for a maximum of 3 marks. • The risk of failure is reduced **(1)** as the new product is only tested in one area gaining feedback from customers **(1)** leading to modifications being made before the final launch **(1)** **NB** Answers that list three benefits with no explanation will get 1 mark only. **Accept any other appropriate response.**	**(3)**

Type MS · Cash-flow forecasts: terms, uses and limits

Answer 6 of 11 · Question 1 part a.ii · 1 mark

2023 JUN · Paper 01 · extract 6 of 7 · find part a.ii in this mark scheme extract

Question Number	Analyse the importance of branding for *Irsi Chocolatier*. **Indicative content**	Mark
1 (g)	**AO2 = 3 marks AO3 = 3 marks** **AO2** • As a business that started in 1989 it has been able to develop and maintain a strong image for its chocolates and sweets • Branding against local competing chocolate shops helps *Irsi Chocolatier* stand out **AO3** • This is important as the brand helps create recognition of the business allowing *Irsi Chocolatier* to continue as a long-standing business • As the brand becomes stronger a higher price for the products can be charged and new products being introduced have a higher success rate due to its current branding	**(6)**

Level	Mark	Descriptor
	0	No Rewardable material.
Level 1	1-2	• Limited application of knowledge and understanding of business concepts and issues to the business context. (AO2) • Attempts to deconstruct business information and/or issues, finding limited connections between points. (AO3)
Level 2	3-4	• Sound application of knowledge and understanding of business concepts and issues to the business context although there may be some inconsistencies. (AO2) • Deconstructs business information and/or issues, finding interconnected points with chains of reasoning, although there may be some logical inconsistencies. (AO3)
Level 3	5-6	• Detailed application of knowledge and understanding of business concepts and issues to the business context throughout. (AO2) • Deconstructs business information and/or issues, finding detailed interconnected points with logical chains of reasoning. (AO3)

Type MS · Cash-flow forecasts: terms, uses and limits

Answer 6 of 11 · Question 1 part a.ii · 1 mark

2023 JUN · Paper 01 · extract 7 of 7 · find part a.ii in this mark scheme extract

Question Number	State **one** method *Irsi Chocolatier* could use to improve its competitive position. **Answer**	**Mark**

Type MS · Cash-flow forecasts: terms, uses and limits

Answer 7 of 11 · Question 1 part a.iv · 1 mark

2024 JUN · Paper 02 · extract 1 of 6 · find part a.iv in this mark scheme extract

1 (a) (i)	**AO1 - 1 mark** The only correct answer is **B -** Personal satisfaction **A** – is not the correct answer as generating wealth is a financial objective **C** - is not the correct answer as maximising profit is a financial objective **D** - is not the correct answer as regular income is a financial objective	**(1)**

Q. No.	Which **one** of the following would be a benefit to a business delaying paying its suppliers? **Answer**	**Mark**
1 (a) (ii)	**AO1 - 1 mark** The only correct answer is **A -** Improved cash flow **B** – is not the correct answer as profit would not be greater if you delayed paying suppliers **C** - is not the correct answer as suppliers would want more interest on the outstanding amount **D** - is not the correct answer as delaying payment would have the opposite effect on suppliers	**(1)**

Q. No.	Which **one** of the following would be the total monthly cost for *Jewellery For You*?	**Mark**
1 (a) (iii)	**AO1 - 1 mark** The only correct answer is **B -** €3 480 **A** – is not the correct answer as €924 is 27 x 12 + 600 **C** - is not the correct answer as €6 480 is 240 x 27 **D** - is not the correct answer as €7 080 is 240 x 27 + 600	**(1)**

Type MS · Cash-flow forecasts: terms, uses and limits

Answer 7 of 11 · Question 1 part a.iv · 1 mark

2024 JUN · Paper 02 · extract 2 of 6 · find part a.iv in this mark scheme extract

Q. No.	Which **one** of the following is a reason why a business would produce a cash flow forecast? **Answer**	Mark
1 (a) (iv)	**AO1 - 1 mark** The only correct answer is **C -** It can help a bank decide whether it should lend money to a business **A** – is not the correct answer as it is not a legal requirement that a business has a cash flow forecast **B** – is not the correct answer as a cash flow forecast does not ensure that the business will be successful **D** - is not the correct answer as a forecast does not show the profit and loss of a business in the past six months	**(1)**

Q. No.	Which **one** of the following was the cost of the holiday in Thai Baht? **Answer**	Mark
1 (a) (v)	**AO1 - 1 mark** The only correct answer is **C -** 40 828.18 **A** – is not the correct answer as 24.20 is 998 ÷ 40.91 **B** – is not the correct answer as 1038.91 is 998 + 40.91 **D** - is not the correct answer as 40 869.09 is 998 x 40.91 + 40.91	**(1)**

Q. No.	Which **one** of the following is a reason why a sole trader would want to become a private limited company? **Answer**	Mark
1 (a) (vi)	**AO1 - 1 mark** The only correct answer is **D -** Increased ability to raise finance **A** – is not the correct answer as the business would have to publish its financial records so therefore not confidential **B** – is not the correct answer as the private limited company would have limited liability **C** - is not the correct answer as shareholders are not liable for all debts	**(1)**

Type MS · Cash-flow forecasts: terms, uses and limits

Answer 7 of 11 · Question 1 part a.iv · 1 mark

2024 JUN · Paper 02 · extract 3 of 6 · find part a.iv in this mark scheme extract

Q. No.	Define the term **franchise**. **Answer**	Mark
1 (b)	**AO1 - 1 mark** Award 1 mark for a correct definition of **franchise** • A business allows another operator to trade under its name **(1)**	**(1)**

Q. No.	Define the term **profit**. **Answer**	Mark
1 (c)	**AO1 - 1 mark** Award 1 mark for a correct definition of **profit** • Funds that are left over after all costs have been subtracted from the revenue **(1)**	**(1)**

Q. No.	State **one** reason why *TUI* pays its employees above the minimum wage. **Answer**	Mark
1 (d)	**AO2 - 1 mark** Award 1 mark for a valid reason why *TUI* pays its employees above the minimum wage in the context of the business • By *TUI* paying its employees above the minimum wage they are more likely to remain with *TUI* and their knowledge of cruises and holidays will not be lost **(1)** • Employees will feel more valued and gain more knowledge and experience of the travel industry that they could pass on to potential customers **(1)** **NB** Do not accept a reason that is not in the context of *TUI.* Accept any appropriate response	**(1)**

Type MS · Cash-flow forecasts: terms, uses and limits

Answer 7 of 11 · Question 1 part a.iv · 1 mark

2024 JUN · Paper 02 · extract 4 of 6 · find part a.iv in this mark scheme extract

Q. No.	Calculate the total price of a holiday for **two** adults with a 12.5% promotional discount for booking online. **Answer**	**Additional Guidance**	**Mark**
1 (e)	**A02 - 2 marks** 725.92 x 2 = 1451.84 1451.84 x 0.125 = 181.48 **(1)** 1451.84 – 181.48 = 1270.36 **(1)** **OR** 725.92 x 0.875 = 635.18 **(1)** 635.18 x 2 = 1270. 36 **(1)**	Award 1 mark for correctly substituting numbers into formula. Award full marks for correct answer with no working.	**(2)**

Q. No.	Explain **one** of the factors in Herzberg's motivational theory. **Answer**	**Mark**
1 (f)	**A01 - 3 marks** Award 1 mark for identification of a factor in Herzberg's motivational theory, plus 2 further marks for explaining the theory, for a maximum of 3 marks. • One is called a hygiene factor **(1)** where employees are paid for their work **(1)** which means employees gain security knowing they can pay their bills **(1)** • One is called a motivator factor **(1)** employees gain achievement in their work **(1)** which allows them to grow and develop **(1)** **NB** No marks are awarded for a definition. Answers that list three factors with no explanation will get 1 mark only. Accept any appropriate response.	**(3)**

Type MS · Cash-flow forecasts: terms, uses and limits

Answer 7 of 11 · Question 1 part a.iv · 1 mark

2024 JUN · Paper 02 · extract 5 of 6 · find part a.iv in this mark scheme extract

Q. No.	Analyse the benefits for *TUI* from including health and safety training for its employees in their induction training. **Indicative content**	Mark
1 (g)	**AO2 = 3 marks AO3 = 3 marks** **AO2** • Employees working in one of the travel agencies will know what to do if there is an emergency, such as an employee injuring themselves after falling • Employees will be aware of any dangers by ensuring that all computer wires in the agencies are securely fastened to floors and walls so that no one can trip over them **AO3** • They will be able to make decisions quickly as to how to deal with the situation, by knowing where the first aid kit for plasters or bandages • Thus, avoiding any accidents and *TUI* being sued by employees	**(6)**

Level	Mark	Descriptor
	0	No rewardable material.
Level 1	1-2	• Limited application of knowledge and understanding of business concepts and issues to the business context **(AO2)** • Attempts to deconstruct business information and/or issues, finding limited connections between points **(AO3)**
Level 2	3-4	• Sound application of knowledge and understanding of business concepts and issues to the business context although there may be some inconsistencies **(AO2)** • Deconstructs business information and/or issues, finding interconnected points with chains of reasoning, although there may be some logical inconsistencies **(AO3)**
Level 3	5-6	• Detailed application of knowledge and understanding of business concepts and issues to the business context throughout (**AO2)** • Deconstructs business information and/or issues, finding detailed interconnected points with logical chains of reasoning **(AO3)**

Type MS · Cash-flow forecasts: terms, uses and limits

Answer 7 of 11 · Question 1 part a.iv · 1 mark

2024 JUN · Paper 02 · extract 6 of 6 · find part a.iv in this mark scheme extract

Q. No.	State **one** possible reason why *TUI* would want to keep its customers loyal. **Answer**	**Mark**

Type MS · Cash-flow forecasts: terms, uses and limits

Answer 8 of 11 · Question 3 part a · 1 mark

2024 NOV · Paper 02 · extract 1 of 6 · find part a in this mark scheme extract

3 (a)	**A01 - 1 mark** Award 1 mark for a correct definition of **net cash flow.** • Difference between cash/money coming into the business and the cash/money going out of the business in a given period of time **(1)**	**(1)**

Question Number	Outline **one** possible reason why prospective employees at *Premier Inn* complete an application form. **Answer**	**Mark**
3 (b)	**A02 - 2 marks** Award 1 mark for identifying one possible reason why prospective employees at *Premier Inn* complete an application form, plus 1 further mark for a point of development. For two marks the answer must be in the context of the business. • *Premier Inn* can see if the employee has the skills and knowledge of working in the reception area **(1)** which will reduce the amount of training needed **(1)** **NB** Do not accept a possible reason that is not in the context of *Premier Inn.* **Accept any other appropriate response.**	**(2)**

Type MS · Cash-flow forecasts: terms, uses and limits

Answer 8 of 11 · Question 3 part a · 1 mark

2024 NOV · Paper 02 · extract 2 of 6 · find part a in this mark scheme extract

Question Number	Calculate, to two decimal places, what an employee would earn if they worked six hours of overtime? **Answer**	**Additional guidance**	**Mark**
3 (c)	**A02 - 2 marks** 91.62 **(2)** **Or** 1 mark for workings if correct answer not given 15.27 x 6 **(1)**	Award 1 mark for correctly substituting numbers into formula. Award full marks for correct numerical answer without working.	**(2)**

Question Number	Analyse the benefits for *Premier Inn* of motivating its employees. **Indicative content**	**Mark**
3 (d)	**AO2 = 3 marks AO3 = 3 marks** **AO2** • If *Premier Inn* motivates its employees, it means that they will be more likely to provide a better service to customers staying at the hotel • If the employees are not motivated, then they are likely to make errors when booking customers into their allocated rooms **AO3** • Employees who are happy at work would be more willing to carry out additional duties if required • Less motivated employees can lead to a reduction in customers using the hotel again, making it harder for *Premier Inn* to achieve any targets they may have	**(6)**

Type MS · Cash-flow forecasts: terms, uses and limits

Answer 8 of 11 · Question 3 part a · 1 mark

2024 NOV · Paper 02 · extract 3 of 6 · find part a in this mark scheme extract

Level	Mark	Descriptor
	0	No rewardable material.
Level 1	1-2	• Limited application of knowledge and understanding of business concepts and issues to the business context (AO2). • Attempts to deconstruct business information and/or issues, finding limited connections between points (AO3).
Level 2	3-4	• Sound application of knowledge and understanding of business concepts and issues to the business context although there may be some inconsistencies (AO2). • Deconstructs business information and/or issues, finding interconnected points with chains of reasoning, although there may be some logical inconsistencies (AO3).
Level 3	5-6	• Detailed application of knowledge and understanding of business concepts and issues to the business context throughout (AO2). • Deconstructs business information and/or issues, finding detailed interconnected points with logical chains of reasoning (AO3).

Type MS · Cash-flow forecasts: terms, uses and limits

Answer 8 of 11 · Question 3 part a · 1 mark

2024 NOV · Paper 02 · extract 4 of 6 · find part a in this mark scheme extract

Question Number	**Option 1:** internal recruitment from within *Premier Inn* hotels around the world **Option 2:** external recruitment, by using an employment agency. Justify which **one** of these two options *Premier Inn* should choose. **Indicative content**	**Mark**
3 (e)	**AO2 = 3 marks AO3 = 3 marks AO4 = 3 marks** **AO2** • **Option 1** – By appointing an internal employee to organise the reception area of the hotel, they will have experience of how the hotel works • **Option 2** – By appointing externally using an agency provides the opportunity to bring in additional skills of marketing the *Premier Inn* business **AO3** • **Option 1** – As the employee is known to the business together with their skills and knowledge, they will know if they are capable of carrying out the new job • **Option 2** – There may be a wide variety of people applying for the vacancy. This provides a wide choice which the agency can then reduce to a list of potential employees with the right skills **AO4** • **Option 1** – However, if the employee does move to take on the new job the old job may have to be filled and this could mean more expense • **Option 2** – However, the new employee may not fit in with the other employees in the business, which could cause problems within the work environment	**(9)**

Type MS · Cash-flow forecasts: terms, uses and limits

Answer 8 of 11 · Question 3 part a · 1 mark

2024 NOV · Paper 02 · extract 5 of 6 · find part a in this mark scheme extract

Level	Mark	Descriptor
	0	No rewardable material.
Level 1	1-3	• Limited application of knowledge and understanding of business concepts and issues to the business context (AO2). • Attempts to deconstruct business information and/or issues, finding limited connections between points (AO3). • Makes a judgement, providing a simple justification based on limited evaluation of business information and issues relevant to the choice made (AO4).
Level 2	4-6	• Sound application of knowledge and understanding of business concepts and issues to the business context although there may be some inconsistencies (AO2). • Deconstructs business information and/or issues, finding interconnected points with chains of reasoning, although there may be some logical inconsistencies (AO3). • Makes a judgement, providing a justification based on sound evaluation of business information and issues relevant to the choice made (AO4).
Level 3	7 - 9	• Detailed application of knowledge and understanding of business concepts and issues to the business context throughout (AO2). • Deconstructs business information and/or issues, finding detailed interconnected points with logical chains of reasoning (AO3). • Makes a judgement, providing a clear justification based on a thorough evaluation of business information and issues relevant to the choice made (AO4).

Type MS · Cash-flow forecasts: terms, uses and limits

Answer 8 of 11 · Question 3 part a · 1 mark

2024 NOV · Paper 02 · extract 6 of 6 · find part a in this mark scheme extract

Question Number	Calculate, to two decimal places, the current ratio in 2022. You are advised to show your working. **Answer**	Additional guidance	Mark

Type MS · Cash-flow forecasts: terms, uses and limits

Answer 9 of 11 · Question 2 part e · 3 marks

2019 JUN · Paper 02 (regional R) · extract 1 of 5 · find part e in this mark scheme extract

2 (a)	**AO2 = 1 mark** Award 1 mark for a valid benefit in the context of the business. • *Yellow* attract more customers who want to design their own shirt **(1).** Accept any other appropriate response.	**(1)**

Question Number	Answer	Mark
2 (b)	**AO2 = 1 mark** Award 1 mark for valid way *Yellow* could carry out market research in the context of the business. • *Yellow* could ask questions of customers in its shops **(1).** Accept any other appropriate response.	**(1)**

Question Number	Answer	Mark
2 (c)	**AO1 = 3 marks** Award 1 mark for identification of a benefit of retaining staff, plus 2 further marks for explaining the benefits, for a maximum of 3 marks. • If staff stay with the business it means that there is consistency **(1).** It means that employees gain knowledge of the products they are selling **(1)** and they can pass this information on to customers **(1).** Answers that list three benefits with no explanation will get a maximum of 1 mark. Accept any other appropriate response.	**(3)**

Type MS · Cash-flow forecasts: terms, uses and limits

Answer 9 of 11 · Question 2 part e · 3 marks

2019 JUN · Paper 02 (regional R) · extract 2 of 5 · find part e in this mark scheme extract

Question Number	Answer	Mark
2 (d)	**AO1 = 3 marks** Award 1 mark for identification of an advantage of a business using targeted advertising online, plus 2 further marks for explaining the advantage for a maximum of 3 marks. • A business can target a wider audience **(1)** because it is worldwide and 24/7 **(1)** and is a relatively cheap method of advertising to traditional methods **(1).** Answers that list three advantages with no explanation will get a maximum of 1 mark. Accept any other appropriate response.	**(3)**

Question Number	Answer	Mark
2 (e)	**AO1 = 3 marks** Award 1 mark for identification of a reason why cash flow forecasts are important, plus 2 further marks for explaining the importance for a maximum of 3 marks. • It allows the business to predict its future inflow and outflows **(1).** It knows whether it can survive or not **(1)** and whether it has sufficient funds to keep trading **(1).** Answers that list three reasons why a cash flow forecast is important with no explanation will get a maximum of 1 mark. Accept any other appropriate response.	**(3)**

Type MS · Cash-flow forecasts: terms, uses and limits

Answer 9 of 11 · Question 2 part e · 3 marks

2019 JUN · Paper 02 (regional R) · extract 3 of 5 · find part e in this mark scheme extract

Question Number	Indicative content	Mark
2 (f)	**AO2 = 3 marks AO3 = 3 marks AO4 = 3 marks** AO2 • **Option 1** – Full-time staff means fewer employees in each store. • **Option 2** – Part-time staff offer flexibility in the hours they work in each store. AO3 • **Option 1** – Full-time staff provide consistency, commitment and loyalty. • **Option 2** – Part-time staff have the flexibility to meet the demand of longer shop hours or busy periods. AO4 • **Option 1** – Costs may be increased because they have to be paid regardless of demand in the stores. • **Option 2** – Higher recruitment costs because part-time staff may be less committed to *Yellow.*	**(9)**

Type MS · Cash-flow forecasts: terms, uses and limits

Answer 9 of 11 · Question 2 part e · 3 marks

2019 JUN · Paper 02 (regional R) · extract 4 of 5 · find part e in this mark scheme extract

Level	Mark	Descriptor
	0	No rewardable material.
Level 1	1-3	• Limited application of knowledge and understanding of business concepts and issues to the business context (AO2). • Attempts to deconstruct business information and/or issues, finding limited connections between points (AO3). • Makes a judgement, providing a simple justification based on limited evaluation of business information and issues relevant to the choice made (AO4).
Level 2	4-6	• Sound application of knowledge and understanding of business concepts and issues to the business context although there may be some inconsistencies (AO2). • Deconstructs business information and/or issues, finding interconnected points with chains of reasoning, although there may be some logical inconsistencies (AO3). • Makes a judgement, providing a justification based on sound evaluation of business information and issues relevant to the choice made (AO4).
Level 3	7 - 9	• Detailed application of knowledge and understanding of business concepts and issues to the business context throughout (AO2). • Deconstructs business information and/or issues, finding detailed interconnected points with logical chains of reasoning (AO3). • Makes a judgement, providing a clear justification based on a thorough evaluation of business information and issues relevant to the choice made (AO4).

Type MS · Cash-flow forecasts: terms, uses and limits

Answer 9 of 11 · Question 2 part e · 3 marks

2019 JUN · Paper 02 (regional R) · extract 5 of 5 · find part e in this mark scheme extract

Question Number	Answer	Mark

Type MS · Cash-flow forecasts: terms, uses and limits

Answer 10 of 11 · Question 2 part d · 3 marks

2021 JUN · Paper 01 · extract 1 of 6 · find part d in this mark scheme extract

2 (a)	A02 - 1 mark Award 1 mark for a valid external factor in the context of the business. • A change in demand patterns could lead to people buying more organic farmed produce (1). Accept any other appropriate response.	**(1)**

Question Number	State one reason why NOF might use other retailers to sell its products Answer	Mark
2 (b)	A02 - 1 mark Award 1 mark for a valid reason of using retailers in the context of the business. • NOF is able to sell its organic farmed produce to other outlets giving it a wider market (1). Accept any other appropriate response.	**(1)**

Type MS · Cash-flow forecasts: terms, uses and limits

Answer 10 of 11 · Question 2 part d · 3 marks

2021 JUN · Paper 01 · extract 2 of 6 · find part d in this mark scheme extract

Question Number	Explain one benefit to a business of using secondary market research Answer	Mark
2 (c)	A01 - 3 marks Award 1 mark for identification of a benefit to a business of using secondary market research, plus 2 further marks for explaining this benefit for a business, for a maximum of 3 marks. • Businesses save money by not carrying out the research themselves (1) as the information is freely accessible on the internet (1) and they can access a large amount of information at no cost (1). NB Answers that list three benefits with no explanation will get a maximum of 1 mark. Accept any other appropriate response.	**(3)**

Question Number	Explain one limitation of a cash flow forecast when making business decisions Answer	Mark
2 (d)	A01 - 3 marks Award 1 mark for identification of a limitation of a cash flow forecast, plus 2 further marks for explaining this limitation, for a maximum of 3 marks. • A limitation is that it is a forecast not actual figure (1). The forecast does not show what happens if goods are not sold (1) or provide a contingency plan if this occurs (1). NB Answers that list three limitations with no explanation will get a maximum of 1 mark. Accept any other appropriate response.	**(3)**

Type MS · Cash-flow forecasts: terms, uses and limits

Answer 10 of 11 · Question 2 part d · 3 marks

2021 JUN · Paper 01 · extract 3 of 6 · find part d in this mark scheme extract

Question Number	Explain one benefit to a business of using crowdfunding as a source of finance Answer	Mark
2 (e)	A01 - 3 marks Award 1 mark for the identification of a benefit of using crowdfunding as a source of finance, plus 2 further marks for explaining that benefit, for a maximum of 3 marks. • Crowdfunding can be a fast way to raise finance (1) from many small investors (1) when no other lender may be available (1) NB Answers that list three benefits with no explanation will get a maximum of 1 mark. Accept any other appropriate response.	**(3)**

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Answer 10 of 11 · Question 2 part d · 3 marks

2021 JUN · Paper 01 · extract 4 of 6 · find part d in this mark scheme extract

Question Number	NOF is considering two options to introduce the product into the market: Option 1: offering a low introductory price for three months Option 2: selling at the same price as competitors. Justify which one of these two options NOF should choose. Indicative content	Mark
2 (f)	AO2 = 3 marks AO3 = 3 marks AO4 = 3 marks AO2 • Option 1 – By offering an introductory price could entice shoppers in the farm shop to try the popcorn. • Option 2 – Customers might recognise the farm's name so will buy the popcorn when comparing to its competition. AO3 • Option 1 – This could lead to an increase in sales due to the low price and will increase revenue. • Option 2 – NOF could see an increase in customers as it is a local brand that people trust so are more willing to buy a new product that it launches. AO4 • Option 1 – However, the profit on each bag of popcorn will be low even though sales may increase so in the short-term profits might suffer. • Option 2 – However, as they do not have an established brand of popcorn customers may choose to buy a more popular branded popcorn they know.	**(9)**

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Answer 10 of 11 · Question 2 part d · 3 marks

2021 JUN · Paper 01 · extract 5 of 6 · find part d in this mark scheme extract

Level	Mark	Descriptor
	0	No rewardable material.
Level 1	1–3	• Limited application of knowledge and understanding of business concepts and issues to the business context. (AO2) • Attempts to deconstruct business information and/or issues, finding limited connections between points. (AO3) • Makes a judgement, providing a simple justification based on limited evaluation of business information and issues relevant to the choice made. (AO4)
Level 2	4–6	• Sound application of knowledge and understanding of business concepts and issues to the business context although there may be some inconsistencies. (AO2) • Deconstructs business information and/or issues, finding interconnected points with chains of reasoning, although there may be some logical inconsistencies. (AO3) • Makes a judgement, providing a justification based on sound evaluation of business information and issues relevant to the choice made. (AO4)
Level 3	7– 9	• Detailed application of knowledge and understanding of business concepts and issues to the business context throughout. (AO2) • Deconstructs business information and/or issues, finding detailed interconnected points with logical chains of reasoning. (AO3) • Makes a judgement, providing a clear justification based on a thorough evaluation of business information and issues relevant to the choice made. (AO4)

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Answer 10 of 11 · Question 2 part d · 3 marks

2021 JUN · Paper 01 · extract 6 of 6 · find part d in this mark scheme extract

Question Number	Define the term remuneration Answer	Mark

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Answer 11 of 11 · Question 4 part c · 12 marks

2023 JUN · Paper 02 (regional R) · extract 1 of 5 · find part c in this mark scheme extract

4 (a)	**A02 - 2 marks** 14 000 000 ÷ 103 **(1)** = 135 922.33 **(1)**	Award 1 mark for correctly substituting numbers into formula. Award full marks for correct numerical answer without working.	**(2)**

Question Number	Analyse why *M&M* wants to continue planting trees. **Indicative content**	**Mark**
4 (b)	**AO2 – 3 marks AO3 – 3 marks** **AO2** • *M&M* planting trees is good for its image, its customers and the sale of its cars • This would improve the environment and air quality in countries where *M&M* has factories making vehicles **AO3** • This would increase public awareness of the environment and encourage more people to purchase from *M&M* • Even though the manufacture of vehicles and tractors does pollute the atmosphere *M&M* are trying to reduce the amount of damage done	**(6)**

Type MS · Cash-flow forecasts: terms, uses and limits

Answer 11 of 11 · Question 4 part c · 12 marks

2023 JUN · Paper 02 (regional R) · extract 2 of 5 · find part c in this mark scheme extract

Level	Mark	Descriptor
	0	No rewardable material.
Level 1	1-2	• Limited application of knowledge and understanding of business concepts and issues to the business context. (AO2) • Attempts to deconstruct business information and/or issues, finding limited connections between points. (AO3)
Level 2	3-4	• Sound application of knowledge and understanding of business concepts and issues to the business context although there may be some inconsistencies. (AO2) • Deconstructs business information and/or issues, finding interconnected points with chains of reasoning, although there may be some logical inconsistencies. (AO3)
Level 3	5-6	• Detailed application of knowledge and understanding of business concepts and issues to the business context throughout. (AO2) • Deconstructs business information and/or issues, finding detailed interconnected points with logical chains of reasoning. (AO3)

Type MS · Cash-flow forecasts: terms, uses and limits

Answer 11 of 11 · Question 4 part c · 12 marks

2023 JUN · Paper 02 (regional R) · extract 3 of 5 · find part c in this mark scheme extract

Question Number	Evaluate why *M&M* uses cash flow forecasting to help inform decision making. **Indicative content**	Mark
4 (c)	**AO1 = 3 marks AO2 = 3 marks** **AO3 = 3 marks AO4 = 3 marks** **AO1** • *M&M* using their cash flow forecast, can help them predict net cash flow for the future • If *M&M* predict that the cash inflow will be high then they may decide to invest in other areas of the business **AO2** • Depending on whether there is sufficient funds they could introduce additional features on the tractors • The funds could be used to employ specialist staff who have skills in developing electronic devices on the new cars being produced **AO3** • If there are not sufficient funds then *M&M* may decide to wait until they have the funds available • This would then maintain their image of introducing new and innovative features to the cars **AO4** • However, a cash flow forecast is only a prediction and does not guarantee that the funds will be there in the future • However, there is no guarantee that there will be sufficient cash to cover all the costs of employing the staff or that the new features will be liked by customers	**(12)**

Type MS · Cash-flow forecasts: terms, uses and limits

Answer 11 of 11 · Question 4 part c · 12 marks

2023 JUN · Paper 02 (regional R) · extract 4 of 5 · find part c in this mark scheme extract

Level	Mark	Descriptor
	0	No rewardable material.
Level 1	1-4	• Demonstrates elements of knowledge and understanding of business concepts and issues, with limited business terminology used. (AO1) • Limited application of knowledge and understanding of business concepts and issues to the business context. (AO2) • Attempts to deconstruct business information and/or issues, finding limited connections between points. (AO3) • Makes a judgement, providing a simple justification based on limited evaluation of business information and issues relevant to the choice made. (AO4)
Level 2	5 - 8	• Demonstrates mostly accurate knowledge and understanding of business concepts and issues including appropriate use of business terminology in places. (AO1) • Sound application of knowledge and understanding of business concepts and issues to the business context although there may be some inconsistencies. (AO2) • Deconstructs business information and/or issues, finding interconnected points with chains of reasoning, although there may be some logical inconsistencies. (AO3) • Makes a judgement, providing a justification based on sound evaluation of business information and issues relevant to the choice made. (AO4)

Type MS · Cash-flow forecasts: terms, uses and limits

Answer 11 of 11 · Question 4 part c · 12 marks

2023 JUN · Paper 02 (regional R) · extract 5 of 5 · find part c in this mark scheme extract

Level 3	9 - 12	• Demonstrates accurate knowledge and understanding of business concepts and issues throughout, including appropriate use of business terminology. (AO1) • Detailed application of knowledge and understanding of business concepts and issues to the business context throughout. (AO2) • Deconstructs business information and/or issues, finding detailed interconnected points with logical chains of reasoning. (AO3) • Makes a judgement, providing a clear justification based on a thorough evaluation of business information and issues relevant to the choice made. (AO4)